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# Intercontinental Exchange, Inc. (ICE)

Deutsche Bank Global Financial Services Investor Conference

## CORPORATE PARTICIPANTS

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## MANAGEMENT DISCUSSION SECTION

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Yeah, great, okay. I think we can get started, if everyone can take their seats. So, thanks, everyone for joining us. So, for our next presentation we're delighted to have Senior Executives with us from Intercontinental Exchange, also known as ICE, of course. Next to me is Ben Jackson, who was promoted to President of ICE late last year, is responsible for the integration, execution of ICE's acquisitions and joint ventures, along with overseeing the global futures and OTC trading businesses, and that includes ICE's fixed income strategy as well. Ben came to ICE in 2011 from SunGard, where he led their commodities and energy segment.

And we're also excited to have Lynn Martin with us, who's President and COO of ICE Data Services, which we'll be talking a lot about today. It's one of the keenest areas of interest to investors since the acquisition of Interactive Data Corp. back in late 2015. Lynn came to ICE through the acquisition of NYSE, which he joined in 2001 and served several leadership roles there including the CEO of the Liffe Business. So, thanks both of you for joining us today.

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Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

Thanks, Brian.

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Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Thank you.

## QUESTION AND ANSWER SECTION

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Q

Maybe just to start out with Ben and the big picture on data and information services strategy. So, you've assembled a lot of content over the years between legacy ICE and NYSE, IDC and smaller acquisitions, I think I counted something like 20 or so acquisitions that would have added some level of data content, but can you quickly walk us through the evolution of how you started to package all of this together and how the distribution strategy evolved over time into what you're branding the ICE Global Network?

Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

A

Sure. Thanks, Brian. Thanks, everybody for joining us today. I think the best way to start with is to think about when you're saying legacy ICE, when I think about the roots of the business in the exchange and clearing space, a lot of people saw us historically as great exchange and clearinghouse operators, and we several years ago took a look at it and said, well, when you're running an exchange and a clearinghouse, what is it you really have at the end of the day? What's the services you're providing to your customers?

And at the end of the day what an exchange and clearinghouse is it's really an information asset. It's an information asset and a market structure asset that enables customers in as easy a fashion as possible to gather the information that they need to determine what's the next trading strategy I want to have, how am I going to hedge risk?

And you've got a community of people attached to each one of those exchange and clearinghouse venues that care deeply about the information that's coming off of those exchanges for them to manage their exposure to price risk. So, whether it's the IPE, now ICE Futures Europe, and people that care about the price of oil and hedging oil or interest rate risk in Europe or in ICE Futures U.S. you have cotton traders, natural gas upstream, midstream, downstream companies.

Regardless of who you are, you care about the information that's coming through those, but then you fast forward, well, people ask the questions, well, now you bought these businesses called IDC, S&P Securities Evaluations businesses and others, and said have you changed your strategy. The answer is no, we haven't changed our strategy because what are those businesses at the heart. At the heart of those businesses, they're informational assets, they're informational assets around how people understand price risk, understand how they can hedge and trade in the fixed income marketplace.

So – and in addition to the content associated to that, it's a community of people attached to those informational assets that care deeply every day about the trading strategies, the risk management strategies that they're executing on. So, when you ask you know how are we thinking about pulling this together, what we've done is, in acknowledging that these assets are really informational assets at the heart and understanding that there's a huge financial community that depends upon these assets every single day, we stitched all these assets together with a highly proprietary private network called ICE Global Network.

And what that ICE Global Network does at its roots is it's again a private network that enables us to communicate and provide all this content out, whether it's exchange data, clearinghouse information, reference data, pricing data from a number of Lynn's businesses, enables us to provide that out in an ultra-secure fashion, that in today's

environment where cybersecurity is of utmost importance, people want to know that the information that I'm making that next critical trading decision off of hasn't been interrupted from the source that it came from, all the way to my doorstep, and then when I decide to act upon that in some way and go back out versus – the vice versa is true.

In addition to it, connecting us to our clients for their information, it's also interconnecting our community of customers. So, it's not bespoke connections one-to-one, it's really starting to interconnect the communication network as well between and amongst our customers.

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Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Yeah. And this is the – this, I think really the heart of this is the old safety network (sic) [SFTI] from New York.

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Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

Correct.

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Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

What types of technological improvements did you have to make to this over the last – since you acquired it from New York.

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Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

So, what I found interesting about the asset when we acquired the New York Stock Exchange, we were going through and curating that portfolio and trying to figure out what are the pieces that make the most sense where we can leverage for our community of customers. What we loved about the safety network (sic) [SFTI] is that who needs to connect in to the U.S. equities markets? Who needs to care about what's happening in trading on New York Stock Exchange listed companies? Well, the answer is pretty much anybody trading any asset class needs that information.

So, what was interesting about safety is that it's plumbed into and connected into traders, risk managers and market participants in almost every asset class. They were using this to on board and get certain equity information. And because you're already plumbed into those risk systems, because you're already plumbed into those trading systems, as we add new content, whether it's our own proprietary content, third-party content onto this network in all the different asset classes we touch, makes it very easy and efficient for Lynn's sales team to sell that content because oftentimes it's already plumbed into every buy side, every sell side that there is. And a lot of the challenges when you're selling data products oftentimes is how hard it is to sell and get the technology projects approved at a buy side firm or at a sell side firm to connect together all the content source. Here, you're just adding another channel to your cable provider.

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Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Yeah. That's a great segue, and maybe over to Lynn for client strategy.

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Yeah.

A

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Can you talk about your solutions effort and maybe just give us a couple of examples of the client types and sort of what's the sales pitch in terms of getting that client to switch from, say, using a patchwork of other data vendors to instead using ICE through the safety network (sic) [SFTI]? And I guess what portion of data information usage do you think you're displacing with that?

Q

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Yeah. No, that's a bunch of questions...

A

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Yeah. I'm sorry.

Q

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

... all there in one. So, I'm going to try and take it one by one. So, first, it's probably worth just describing – breaking down what ICE Data Services is. So, it's the exchange data business, which is the bids and offers off of the back of our 12 global exchanges, six global clearinghouses. So, the Pricing & Analytics business, which the way I like to describe that business is, we can value pretty much anything in a customer's portfolio as a result of the deliberate acquisitions we've done over the last three years. That could be things such as fixed income securities; it could be equity, end-of-day prices; it could be the toughest to value derivatives, bespoke OTC position; it could be the reference data that underpins the global financial markets, which is the terms and conditions around bonds and exchange-traded derivatives. Of course, we have variety of analytics as well as a variety of indices, which I'll touch on a little bit further later today.

A

And then, the third bucket is the delivery mechanisms that Ben just touched upon. Clearly, the backbone of ICE Data Services is the ICE Global Network. By backbone, I mean the pure delivery mechanism, the way we try to transmit content to folks in a reliable, secure fashion. Then, it's up to the customer if they want to see that visually displayed or they prefer to have that over a feed.

Just going back to your initial question, Brian, couple of real world examples of where we've been now as a result of the combination of assets been able to really service customer's data needs is one that was fairly recent, customer came to us because they wanted, not just end-of-day, but they wanted intra-day, that fixed income valuations. Those of you in the room are probably familiar with the fixed income market structure, it's still – it's not the most transparent market structure, it's still a bit bifurcated. So, therefore a firm would come to us to seek that transparency, which is our continuous evaluated pricing product. We sold them that continuous evaluated pricing product through our consolidated feed solution transmitted over the ICE Global Network. So, from my business, if you look back into the buckets, that was three different sales from my business, because we sold them the content, we sold them the delivery mechanism, and we sold them the backbone.

Now, as Ben alluded to earlier, what that now makes it easier for my sales team to do is sell additional content, now that that infrastructure is in place with the firm. As Ben indicated, the hardest thing in a content sale or in a derivatives market is to really get that distribution. It's why we're so excited about the possibilities for the ICE Global Network.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Thank you for outlining all the different components. Sometimes it can get a little confusing...

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A little confusing, yeah.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

...but if you break out like that, it makes it a lot of clearer. So maybe to what extent are the clients adding to the types of data information that they use and hence expanding their data budget as opposed to trying to cut their data budget and rather you know more you know consolidate the fewer data providers.

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

I mean I think that no one in the industry would argue that you all as companies are consuming more data, you all as individuals are consuming and using more data. One of the leading metrics we've put out there in the world as an indicator that really underpins the growth in consumption of data is the growth in capacity demand in our ICE Global Network.

Last quarter we mentioned that the growth in capacity was up 14% quarter-on-quarter (sic) [year-on-year]. So, that just underpins the thesis and it's a really nice way to quantify the thesis that there is more data being consumed. So, while firms are looking to consume data in a much more efficient fashion from a cost perspective, they are also having to grapple with the fact that they're consuming more data, they're having to comply with additional forms of regulation, which are data-driven, different types of analytics to generate alpha in the markets, different types of strategies that they're running. So, we've seen really a balance in terms of new customers as well as selling additional services to our existing customers as their data needs are continuing to evolve.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Yeah. And then in regards to maybe the larger client solution strategy where you're going into the C-suite and making a pitch for the whole ...

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Yeah.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

... business, maybe what inning do you think we're in, in terms of the penetration of those larger clients? And if we think about the totality of data revenue for ICE, it's tracking around \$2.1 billion this year. And maybe roughly what – if you have this, what portion of that revenue comes from say largest bucket of client, maybe the largest 10% of clients? And is the strategy around increasingly penetrating those large clients or are you thinking about that more broadly in just getting actually more clients on books?

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A

So, I think I would answer that question a little bit in a different fashion. Just to say, I think, we're at the early innings of the data evolution.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Q

Okay.

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A

I think this is an evolution that has many years to play out as customers' data needs are continuing to evolve and continue to be driven by some of the factors I mentioned earlier. I'd say, I think we put out a growth algorithm last year at our Investor Day of about 20% of the growth is coming from new customers, 20% roughly from new products, and that's pretty much held constant. It's why we're confident that we're able to continue to grow the business in the middle to high single digits over the medium to long term.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Q

Yeah. That's a good segue into the revenue growth, I mean.

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A

Yeah.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Q

For better or worse, investors are hyper-focused on the

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A

They are.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Q

...on the nuances of that 6% to 7%. Maybe if you can talk a little bit about the review about the quarter, I think it was little less than 6%. I think we're concerned that it was going down. Yet you reaffirmed your guidance for...

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Yeah.

A

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

...6% to 7%, which I believe does imply an acceleration in the back half of the year.

Q

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Yeah.

A

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

If you can talk about that? And then you just mentioned you guys Scott have said this, the CFO, over and over again of that longer term mid to high single-digits, does that imply that 6% to 7% can sort of nudge up over time?

Q

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Well, I mean I think the best way first to address the 5% number that you put out there, and we don't manage the business on a quarter-to-quarter basis. We look at it over the medium to long term and we're measured on an annual basis, which is the guidance that we gave of 6% to 7%. I think why you should have confidence in that number is some of the other metrics we put out specifically in Q1, specifically the ASV metrics, which you saw an acceleration from Q4 of 6% to Q1 of 6.5% growth. ASV is Annual Subscription Value. It's meant to be the subscription value for the next 12 months essentially as it would imply. And you should also take comfort in the signings growth we've put out there for the Pricing & Analytics business. So, that's very much a subscription-based business, which we put out, I think it's roughly about 20% growth in the last quarter, spread out across multiple jurisdictions.

A

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Yeah, great.

Q

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

So, it's not as though we're just growing in one specific region. We're seeing growth in our more established regions, the U.S. We're seeing tremendous growth in EMEA. If you've seen our growth, last year, I think it was about 20-something, 29% last year, and Q1 is off to a tremendous start of 80% in the Pricing & Analytics business, and Asia is only 4% of my revenue. Think about how large Asia is, think about some of the macro factors really affecting the Asia markets, particularly in fixed income. There's tremendous room for growth in that region.

A

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

And within Europe, the MiFID II...

Q



Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A

MiFID II was certainly a tailwind for us last year. It bled a little bit into this year. But as a result of, again, getting that plumbing into the firms, getting those new customers, the relationships established with those customers that MiFID II afforded us the opportunity to – we're able to offer now folks additional products and services.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Q

Yeah. Maybe switching gears a little bit to the fixed income side. Maybe, Ben, if you can talk about the overall bond trading strategy. Your announcement yesterday to acquire the TMC Bonds acquisition, if you can talk a little bit about that, how you expect that to enhance your fixed income offering? And then just, I guess, more broadly about the overall fixed income strategy that started out with the legacy Creditex platform, how you added BondPoint to that and what you're trying to be longer-term in electronic fixed income trading?

Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

A

Sure. So I think the best place to start with is look at some of the acquisitions that we've done over the last few years. So, if you start with IDC, you look at Bank of America Merrill Lynch Index business, you have the S&P Evaluations business. In each of those, what did we buy? At the end of the day what we bought, similar to my opening comments, you bought information services in the fixed income asset class that are critical for people to understand how to value securities that are difficult to value.

You also bought a suite of analytics platforms that helped to inform customers' trading strategies, helped to inform what is my performance attribution, across the various instruments that are in my given portfolio.

If you take each of those communities that we're connected to in the fixed income space, what we did shortly after those acquisitions is that, Lynn, myself and a wide cross section of our team got into all of our customers' offices and said, what are the workflow challenges you have, what are the issues that you have that you're dealing with in the fixed income space. Given that we're connected to that community enabled us to get in there in detail, and all these customers on the buy side and sell side know us from all the other asset classes that we provide services to them each and every day.

So in those dialogs what came out of it is a consistent drumbeat from the buy side and the sell side saying, it is so difficult, more difficult than ever to execute in the fixed income space. Inventory is very difficult to find, dealers with capitalization rules have had to shed a ton of inventory. So when you wanted to transact and trade in today's environment, what used to be able to get done over the phone manually in one trade now has to be done in 10 trades, 15 trades, 20 trades of much smaller size.

So, in engaging in that dialog in more and more detail with the customers themselves became evident that each of them are taking all of their manual horsepower and saying, okay, for the large ticket trades that we are going to do, we're going to put manual resources against that, but everything that's a smaller size trade and smaller size trade is getting to be a bigger and bigger number of the number of trades that are – the number of actual bond instruments that are in a particular trade. Anything that's below a certain size, we need to 100% automate. We need to figure out how do we automate this? How do we make it 100 times more efficient than the way we're executing today?

The other thing we found is, we said, well, but still the vast majority of what's being executed is being done over the phone, and what is happening in electronic markets tends to be done through RFQ mechanisms. And when you really think about an RFQ, that's a point in time somebody want – Brian, you want to buy 54 bonds and you go ahead and RFQ it and blast it out in the Street and then you come back and get prices for maybe half of them, let's say, hey, I have those bonds and these are the prices that you can execute on that.

That workflow is still very inefficient; you're basically replicating a lot of what's done over the phone today, just slightly making it electronic. What customers are looking for is, how do I find and are there mechanisms out there that you guys can onboard onto your platform and into your network that look more like a futures market, that look more like the equities markets, where it's actually a central order book that you're trading on.

You have on that, 4 bond example, you have a depth of order book on all the different types of 4 bonds that you may want to trade on both the buy and the sell side. So, in the recent acquisitions that we did, BondPoint and TMC, the reason we did those is, those assets are unique in that they provide that exact functionality. They are a central order book trading facility where you have resting bids and offers put on those platforms on thousands and thousands of CUSIPs that you can trade real-time, you don't have to send out an RFQ. You can see real-time, this is the price, this is the depth of how much I can get done. And when we analyze these businesses and BondPoint being the first one, the quality of the pricing compared to us being the golden record for pricing was fantastic that we saw that was coming in platforms, number one. Number two, the amount of securities that were being priced on it was incredible. And then number three, which really got me really excited about these businesses was the community attached to it.

When you think about those assets came up through the wealth management space, and oftentimes people would think, well, that means that it's probably a wealth advisor and it's just market makers on the other side. That's not the truth. What's happening there is you have, yes, you have the wealth advisors there, but you have significant buy side activity on there, you have sell side activity on there, you have corporations, you have insurance companies, you have this huge audience of people that are actually showing inventory on that. And the backlog for both BondPoint and TMC of the number of other clients that want to connect onto these platforms was growing virally. More and more people wanted to get onto these networks, more and more people wanted to interact with the liquidity on there, wanted to show liquidity, show inventory. So, that's what excited us.

BondPoint, specifically in the corporate space, and with TMC being a leader in the municipal space, we found as great assets because they're very complimentary to one another in terms of having that central order book trading, but in two different asset classes. And you know right after we did the BondPoint deal, our phones, Lynn, myself and others on our management team, was ringing off the hook with customers of ours saying, well, I think I can really utilize that to solve some real inefficiencies in the way that I have to execute these trades. And I've got more and more buy and sell sides that are actively prioritizing projects to connect to these systems, which I see as a leading indicator to the type of growth. And you know we talked about it on the earnings call that BondPoint itself grew 50% in the first quarter that we owned it over the first quarter of 2017.

And when I look at the backlog of the people that want to connect and interact with this platform and what we've seen with the growth trajectory of the TMC business now that we have that or that we announced the deal and we're going through the process of closing that is really exciting.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Q

And so even longer-term obviously the bond market is much less liquid across a larger number of CUSIPs, but the vision over the very long-term maybe three to five years or more in terms of moving that market electronic, if

you guys think you'll be in the top echelon of players if we think about MarketAxess and Tradeweb overall. And are there other major acquisitions you need to get there or do you think you can do this organically?

Benjamin R. Jackson  
*President, Intercontinental Exchange, Inc.*

A

People that have seen us when we have a view on a marketplace that's going from analog to digital...

Brian Bedell  
*Analyst, Deutsche Bank Securities, Inc.*

Q

Yeah.

Benjamin R. Jackson  
*President, Intercontinental Exchange, Inc.*

A

...we don't play for a second place, right.

Brian Bedell  
*Analyst, Deutsche Bank Securities, Inc.*

Q

Right, right.

Benjamin R. Jackson  
*President, Intercontinental Exchange, Inc.*

A

So, we're there and we're partnering with our customers as we always have. That's made us very successful, is by leading from them pointing into the direction of this is where my real pain point is. And we're going to continue to engage in that fashion. In terms of do we have the right suite of assets? We're absolutely convinced we have the right suite of assets.

Brian Bedell  
*Analyst, Deutsche Bank Securities, Inc.*

Q

Okay. So, more organically, I mean, obviously, you're always adding little things here and there, but from a large size?

Benjamin R. Jackson  
*President, Intercontinental Exchange, Inc.*

A

As we approach any M&A, and as I said in our investor conference last year, we have an intense discipline on every single deal that we do. I put together – when – before I moved into this role and I still run you know M&A and integrations for us, but when I moved into this role a few years ago, Jeff and I talked about it and he said stress the importance of you cannot separate the M&A function from the integration function, which a lot of companies do.

Brian Bedell  
*Analyst, Deutsche Bank Securities, Inc.*

Q

Yeah.

Benjamin R. Jackson  
*President, Intercontinental Exchange, Inc.*

A

Somebody gets to do the sexy fun part of the deal and somebody else does the hard work of the integration. We've kept it wedded together, so that there's accountability that we hit return metrics that we promised our shareholders on each and every deal. And we're passionate about that and we put together the playbook on every single deal that we do to make sure that it's bringing that return. If an opportunity came up that generated that type of return, that would integrate into the rest of our portfolio that wins data businesses and our exchange businesses could benefit from, that our customers can benefit from our ICE Global Network distribution capabilities to energize it, and provide even more growth to it, we'll look at those opportunities, but it's got to pass some significant hurdles ...

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Hurdles, yeah.

Q

Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

...for us to do that.

A

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Yeah. No, that's great. We want to leave time for the audience for questions. We've got – we have one back there. Can we get a microphone there?

Q

Hi, Ben. Maybe could you give us a little bit of a perspective on maybe some of the financial trends at the muni center, just curious what the revenue contribution looks like, what the growth rates have been in recent years?

Q

Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

So, growth, as I've said, has been substantial. So, I think the way to think about it is, the guide we gave you on the types of growth that we saw in the BondPoint business is the type of growth metrics that you'd see in a business what TMC. So we're excited about that. These businesses, I mean, when you take a look at it in the whole spectrum of fixed income trading, still the vast majority of it's done via voice. So the financials on these businesses is relatively small at this point, but growing substantially. And the way we view it is that, if you assemble the right combination of assets, you take a look at the S&P Evaluations business, which was a market leader, is a market leader in the pricing of municipal securities, and think about that combined with an analytics platform that's enabling people to understand their portfolio attribution, do scenario analysis on the next trade that they want to do, and then you couple that as well with a market-leading platform in the electronic space with TMC, we're excited about the growth prospects, not of that business in isolation, but in combination with a number of other assets.

A

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Okay. We have a question over here.

Q

Q

Thank you. Wondered if you can comment on non-transparent ETFs, is it a – would it be a transfer function from existing ETF listings to non-transparent ETF listings? Or is there an actual benefit, i.e. that there's a net improvement in listings? And is there a broader economic impact to the exchange?

Benjamin R. Jackson  
*President, Intercontinental Exchange, Inc.*

A

This is the non-transparent ETFs getting approved by the SEC...

Q

Getting approved, yeah. Would it be a transfer function from existing ETFs to the non-transparent ETFs, meaning there's no impact to the exchange or would there be a sort of backlog of new listings of non-transparent?

Lynn Martin  
*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A

I mean, I think anytime the marketplace is opened up to new types of investing, the exchange venues that facilitate that type of investing from a listings perspective, from a trading perspective, see a benefit. I can't quantify what that benefit will be, but in our mind, it should foster, again, ETF creation and new types of investing that would lead to positive transfer for a listing venue such as NYSE Arca.

Brian Bedell  
*Analyst, Deutsche Bank Securities, Inc.*

Q

Yeah. This should be totally separate ETFs, I would think, because there would be actively managed strategy...

Lynn Martin  
*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A

Yeah, exactly.

Brian Bedell  
*Analyst, Deutsche Bank Securities, Inc.*

Q

... just the matter as if there were asset flow in-between them?

Lynn Martin  
*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A

I mean we're incredibly excited about the prospects for the actively managed side. That's a...

Brian Bedell  
*Analyst, Deutsche Bank Securities, Inc.*

Q

So, they're getting approved by the SEC and it's been in the application process for a long time. Is that right?

Lynn Martin  
*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

A

Can't comment on that.

Benjamin R. Jackson  
*President, Intercontinental Exchange, Inc.*

A

Tough to guess on that.

Brian Bedell  
*Analyst, Deutsche Bank Securities, Inc.*

Q

It always is. Any more questions, yeah. We've one right in the middle here.

Q

Hi. In the bond market, what is – to use your verbiage, what is the current breakdown of trading, analog versus digital, and where does that – how far does that go toward digital before it finds a permanent equilibrium, how long does it take?

Benjamin R. Jackson  
*President, Intercontinental Exchange, Inc.*

A

Yeah. It's a hard question to answer, but I'll try to frame it as best as I can just using a couple of examples. If you take a look at the municipal market in the U.S., in that space, about 88% of it is done still via voice, with 12% being done electronic. And the growth rate on that 12% of more moving that direction is quite substantial.

It's hard to say when does it stop. Does it stop? Very hard to predict that and to say when that happens. But I think the general gist that you get is that there's a huge opportunity with a tide rising pretty quick in that space, and that there's a tremendous market opportunity for growth there. If you look at U.S. corporates, they're slightly more mature than that market in terms of moving. I'd say it's more like 75% of that market is voice today versus 25% electronic. But that's the kind of – that metric looked similar to what I just said the municipals looked like just a few years ago.

So, you have that type of trend happening. And that's why I was trying to give a little bit of color of what really excited us about these businesses was the dialog with the customers and the backlog that these companies have and just people that want to connect that are doing the technology work to connect to these platforms at an unprecedented rate that I think really points to, well, they're connecting to it for a reason. You have companies out there saying, I'm making a mandate across my organization at any trades that are below 250 bonds, no human being should touch it anymore. It should be done on these electronic platforms. They shouldn't be picking up the phone to do that anymore. And the more you hear that from market participants tells me that time is ripe that we're catching that hopefully on the right end of the growth curve there.

And as I said when we closed on the BondPoint deal, our phones were ringing off the hook with these people that wanted us in the room and going through in detail all kinds of different workflow issues that they have depending on what asset class they're trading, what part of the fixed income space they're trading? Or if they're there in the ETF space – and in the fixed income ETF space? There are a whole bunch of just when you look at where we are in space and time and how technology has developed, there's a lot of pieces of this that are still in the dark ages that have a lot of opportunity for efficiency.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

I've got a question here. Over there.

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Q

Q

Yeah. Thank you. Maybe more a question for Ben, with his M&A background. So, ICE recently increased their stake in Euroclear to 10%. I'm just wondering how post-trading fits into your business model? And whether we should see ICE as a natural buyer as more banks or general owners might want to exit their Euroclear Holdings?

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Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

So, on Euroclear, we talked about this a few times. So our clearinghouse in Europe is highly dependent upon that business. 90% of our non-cash collateral is managed through that business, number one. Number two, collateral and management of collateral is increasingly important to our customers. So we wanted to make sure that we had a seat at the table, and a proper seat at the table there as that business evolves. I think there is an opportunity for a lot more efficiency to come out of that business, but we're happy with the position that we have with the current stake.

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A

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

A question over there, right there.

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Q

Q

Just in terms of the increased consumption of data by customers and sort of trends that you're seeing there. I know a lot of regulations have been driving that, but...

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Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Yeah.

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A

Q

...has that sort of played out now? Or is there still...

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Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

No.

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A

Q



...are there new regulations that are coming to the fore that will continue to drive that? And also along the same lines, are there certain trends in terms of the customer base? And how that's evolving that are driving, I don't know whether it's algorithmic trading or the growth of that...

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Yeah.

A

Q

...and just can you elaborate on some of those drivers looking forward?

Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Yeah, just a couple of drivers that are affecting my business real time. You touched on one, regulation. MiFID II got a lot of press because it was the most recent regulation. Europe regulation, now PrEPs is one in Europe, probably an accounting one in Europe. In the U.S., you've got N-PORT and you've got liquidity regimes, both coming to bear in the next 12 to 18 months. You have FRTB hitting, which is Basel IV, you know, some firms are still complying with Basel III, we're on Basel IV already, that's going to hit 2020, depends on where you're located. But, that's going to be a major bleed in. It's going to take multiple years to bleed that regulation in, and there will be additional regulations coming up. So, I don't see the trend of regulation, particularly regulation that drives transparency and increased transparency going away in the medium to long term at all.

Another key driver of the data consumption, increased data consumption side, I say, is indexation. Gentleman over there asked about ETF, ETF creation, increasingly you see the active to passive migrations. Some would argue that certain asset classes are more right for that versus others. But, that's very much a data-driven trend whether you're an active manager or a passive manager. If you're an active manager, you're trying to beat the benchmark, if you're a passive manager you're essentially tied to a benchmark. So, that's where our index services are uniquely positioned to really serve customers on that trend and because we own the underlying part of the index, the pricing, the reference data, the analytics, the exchange data even, we're in a unique position to service customers using the indexation trend or leveraging the indexation trend. Whether it's established benchmark, custom indices, calculation services, self-indexing, we're uniquely positioned.

Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

I think maybe one last very, very quick one. We're just out of time here.

Q

Q

[indiscernible] (00:37:37-00:37:46)

Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

Yeah. I think we're doing it very differently. I mean we started with informational assets, right, starting with assets that are the golden record for pricing and reference data. Also a significant index business around that and an analytics business. So when you take a look at that combination of assets and then later going into the execution

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space, you're providing a much more holistic solution for customers that want to interact with you as opposed to just an execution facility that's primarily RFQ-driven. So, we're taking a very different approach to it.

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## Brian Bedell

*Analyst, Deutsche Bank Securities, Inc.*

Okay. I think we are officially out of time, we should have put two sessions, this is so interesting. Please join me in thanking Ben and Lynn.

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## Benjamin R. Jackson

*President, Intercontinental Exchange, Inc.*

Thank you everybody.

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## Lynn Martin

*President & Chief Operating Officer, ICE Data Services, Intercontinental Exchange, Inc.*

Thank you.

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